

The Recovery Is Priced, Not the Trough SELL

Equity Research Note · Financials — Capital Markets / Crypto · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Return	Risk Rating
SELL	\$100	\$183.00 Oct 2, 2026	-45.4%	High Beta ~3.3

Snapshot			
Market cap	~\$53 bn (285M diluted)	Enterprise value	~\$46.1 bn
Net cash	~\$7.0 bn	52-week range	\$139.11 – \$402.16
YTD / 1-yr return	-17.6% / -46.2%	ATH	~\$420 (Jul 2025); -56% since
2025 revenue	\$7.18 bn	2026E revenue	~\$5.1 bn (-29%)
Q2'26 revenue / adj. EBITDA	\$1.22 bn / \$208 mn	Q2'26 GAAP net	-\$359 mn (-\$1.36/sh)
Next catalyst	Q3'26 earnings, Oct 29	Street consensus	Hold; avg PT \$222.94

This is a **price call, not a business call**. Coinbase is the highest-quality franchise in crypto financial services: the SEC lawsuit is gone, the GENIUS Act is law, subscription & services is a record 48% of revenue, and the balance sheet holds ~\$7 bn of net cash. The problem is arithmetic. At \$183 the equity prices a V-shaped 2027 recovery (the Street models +50% revenue) and no further take-rate compression — while retail take rates have fallen from 1.91% to ~1.35% in three years, Robinhood and Schwab are attacking Coinbase's highest-margin retail flow, and Fed rate cuts threaten the \$1.2 bn stablecoin annuity. Our hardened 10-year scenario DCF is worth **\$101**: bear \$46.90, base \$95.66, bull \$166.04, weighted 25/50/25 at scenario discounts of 14.5% / 12.0% / 10.5% — and **even the bull case sits 9% below the price**. We set the 12-month target at **\$100** and rate the shares **SELL**. We would turn constructive on a washout toward **\$85–\$90**, below our base-case fair value, where the risk/reward turns decisively positive into the 2028–29 cycle.

1. Investment Thesis

Coinbase has quietly become two companies: a **cyclical retail brokerage** whose economics are deteriorating (take-rate compression, fee cuts, well-funded attackers) and a **structural compounder** in subscription & services (stablecoin revenue +48% in 2025, Circle economics locked through 2029, ETF custody for 8 of 11 spot bitcoin ETFs, Base the largest Ethereum L2). The market is valuing the whole at the compounder's multiple. We disagree:

Trough earnings, peak multiple. 2026 is a cyclical trough (revenue -29%, three straight quarterly GAAP losses, three straight quarterly misses), yet the stock trades at ~11x annualized revenue and ~36x our normalized FCF. Troughs are for buying — at trough *prices*. \$186 is not one.

The recovery is fully priced. Morgan Stanley's fresh initiation models 2027 revenue +50% and EBITDA more than doubling; the \$223 consensus target needs it. Our cycle work (2021 peak \$7.84 bn → 2022 trough \$3.19 bn → 2025 peak \$7.18 bn) suggests a slower rebuild: take rates are structurally lower each cycle, and each revenue peak buys fewer dollars of earnings.

The \$1.2 bn stablecoin annuity is rate-sensitive. Stablecoin revenue (\$292 mn in Q2 on \$20 bn of USDC balances) is reserve interest — it falls when the Fed cuts, and the GENIUS Act's yield ban plus a stalled CLARITY Act cap Coinbase's ability to differentiate on USDC rewards.

Competition is converging from both sides. Robinhood did \$156 mn of prediction-market revenue in Q2 (+10x YoY, larger than its crypto *and* equity trading revenue) and tokenized 2,000+ stocks; Schwab now sells spot BTC/ETH at 75 bps to 35 mn accounts. Coinbase cut Advanced Trade fees on Sept 16 — the right volume defense, and a near-term yield sacrifice.

Shareholders pay ~\$1 bn a year in SBC. ~\$240 mn a quarter of stock comp with no buyback in 2026 is a persistent 2%-a-year tax on owners, and Q3'25 diluted share count (292 mn) already sits 11% above the Q2'26 basic count used in headline market-cap math.

What would change our mind: a washout toward **\$85–\$90** (below our base-case fair value), where even the bear case (\$46.90) offers a margin of safety and the 2028–29 cycle provides 2–3x upside optionality; or falsification of our core call: 2027–28 revenue above ~\$8.5 bn with retail take rates stabilizing above 1.4%. Until then, this is a superb business at the wrong price.

2. What the Company Does

Coinbase (founded 2012; listed April 2021; S&P 500 member since May 2025) is a multi-product crypto financial-services platform, not merely an exchange. Twelve products each generate \$100 mn+ of annualized revenue (Q1'26 shareholder letter):

Retail trading — the Coinbase app (simple buy/sell) and Coinbase Advanced Trade (order-book interface, successor to Coinbase Pro). Still the profit engine and still the most cyclical line.

Coinbase One — subscription (\$4.99–\$299.99/mo) with fee waivers and priority support; >1 mn paid subscribers, at an all-time high in Q2'26.

Coinbase Prime (institutional) — custody via its NY limited-purpose trust company, execution, financing, and staking. Custodian for 8 of 11 US spot bitcoin ETFs (incl. BlackRock's IBIT) and 7 of 9 ether ETFs; >80% of US bitcoin-ETF assets sit with Coinbase Custody.

Derivatives — CFTC-registered futures (Coinbase Financial Markets), the International Exchange, and Deribit, the world's largest crypto options venue, acquired for ~\$2.9 bn and closed August 2025 (~\$185 bn July volume, 85%+ options share).

Developer platform & Base — the Coinbase Developer Platform and Base, its Ethereum L2 (launched 2023), now the largest L2 by TVL (\$6.2 bn record, Sept 2026; ~4x the next L2). Coinbase keeps ~80–95% of sequencer fees (~\$92 mn in 2024 at ~92% margin).

2026 launches ("everything exchange") — prediction markets (revenue +106% QoQ in Q2, crossing \$100 mn annualized) and tokenized US equities on Base (launched Aug 2026 for non-US users; 1:1 real-share backing via Alpaca/ADGM with dividends and voting passed through; >\$1 bn volume by late September).

The strategic arc is clear: monetize trust and regulatory licenses across every crypto-adjacent transaction type, while the subscription & services book (48% of Q2'26 revenue, a record) dampens the historic boom-bust. The arc is working — the 2026 trough (\$5.1 bn revenue) is 60% deeper in *level* terms than the 2022 trough (\$3.19 bn) was shallow in *relative* terms (71% of prior peak vs 41% last cycle). But diversification has not repealed cyclicity:

transaction revenue still fell 31% YoY on the consumer side in Q2.

3. Product & Pricing Evaluation

Coinbase monetizes across five distinct pricing models. Evaluated product by product:

Retail brokerage: simple app vs Advanced Trade

The simple app charges ~0.5% spread plus \$0.99–\$2.99 flat fees — typically 1–1.5%+ all-in, among the highest in US crypto retail. **Advanced Trade** is tiered maker/taker; after the **Sept 16, 2026 fee cut**, US entry is 0.50% maker / 0.90% taker (tiers now start at \$10k combined spot+derivatives volume, down from \$25k), flooring at 0.00%/0.05% above \$250 mn/month. The cut is strategically correct — it defends volume share (a record 10.3% of global crypto trading volume in Q2, three quarterly records running) — but it trades near-term yield for flow, and the blended retail take rate has still compressed from 1.91% (2023) to ~1.35% (2026E). Versus Kraken Pro (0.25%/0.40%), Gemini (0.20%/0.40%) and Binance (0.10%/0.10%), Coinbase charges a 2–4x premium that only trust, UX and on-ramp convenience sustain.

Coinbase One: the subscription hedge

Basic \$4.99/mo (zero trading fees to \$500/mo volume), Preferred \$29.99/mo (zero fees to \$10k/mo + 25% Advanced spot-fee rebate), Premium \$299.99/mo (uncapped). Spreads still apply — the spread is the quiet margin. With >1 mn paid subscribers at an all-time high, One converts volatile transaction revenue into recurring revenue and raises switching costs. This is the single best product response to take-rate compression, and it is working.

Prime & custody: the institutional annuity

Public schedule: 50 bps annualized custody fee (\$500k minimum; large mandates negotiated), plus implementation fees. As custodian for 8 of 11 spot bitcoin ETFs and 7 of 9 ether ETFs — over 80% of US bitcoin-ETF assets — custody is a genuine annuity with deep issuer integration. The wrinkle: concentration is pushing issuers toward multi-custody (BlackRock added Anchorage Digital as IBIT co-custodian), and SAB 121's rescission lets banks compete. Custody pricing power is real but no longer unchallenged.

USDC & staking: the two rent streams

Stablecoin revenue (\$292 mn in Q2, +48% YoY in 2025 to \$1.35 bn) is Coinbase's largest recurring line: 100% of reserve income on USDC held on-platform plus an off-platform share, with the Circle revenue-share renewed on existing terms through 2029 and \$20 bn of average USDC balances on platform (an all-time high). Coinbase held ~30% of USDC circulation. The risk is macro, not competitive: reserve income falls with Fed cuts, and JPMorgan flagged a Hyperliquid deal routing 90% of reserve yield on ~\$6 bn USDC back to Hyperliquid — a template other venues may copy. **Staking** (blockchain rewards \$677 mn in 2025) runs at ~35% commission for most assets — a high, defensible take for a trusted validator set, modestly discounted for One tiers.

New bets: Base, Deribit, prediction markets, tokenized stocks

Base keeps ~80–95% of sequencer fees (~\$92 mn in 2024 at ~92% margin; TVL at a \$6.2 bn record) but is not broken out in filings — treat third-party 2026 estimates as approximate, and note the concentration (90% of Base stablecoins are USDC; ~70% of TVL sits in Morpho Blue lending). **Deribit** (\$2.9 bn, closed Aug 2025) bought the dominant crypto options franchise (85%+ share, \$30 bn+ open interest, 80% institutional flow); institutional transaction revenue grew 65% YoY in Q2 on its back. **Prediction markets** crossed \$100 mn annualized (+106% QoQ) — real, but Robinhood did \$156 mn in the same quarter (+10x YoY). **Tokenized stocks** passed \$1 bn volume by late September on genuine 1:1 backing, and the SEC's Sept 17 five-year Innovation Exemption (+10.7% on the stock) is a real regulatory breakthrough — though it is temporary, conditional, and currently non-US only. Verdict: the new bets are credible and diversifying, but none yet offsets a \$600 mn quarterly decline in consumer transaction revenue.

4. Financial Situation

Coinbase is a textbook cyclical: violent operating leverage on the way up, violent deleverage on the way down — now cushioned by a subscription book that did not exist at this scale in the last cycle.

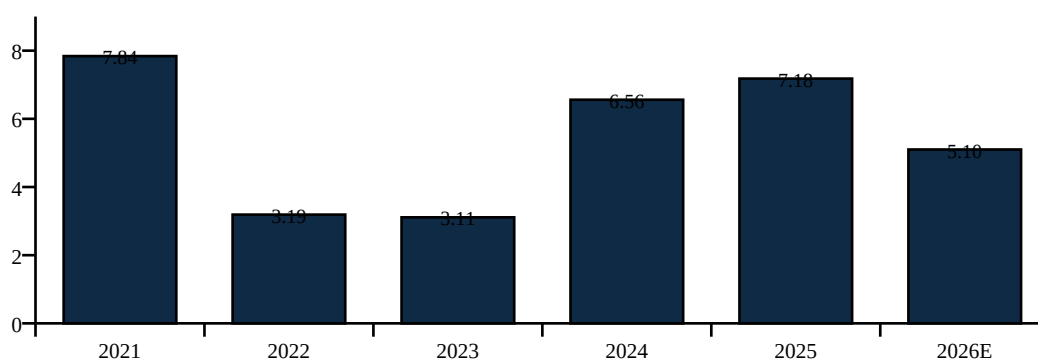
Revenue & profitability (\$ mn)					
\$ mn	2022	2023	2024	2025	H1'26
Total revenue	3,194	3,108	6,564	7,181	2,633
Transaction revenue	2,753*	1,483*	3,986	4,055	1,355
Subscription & services	793*	1,362*	2,307	2,828	1,139
S&S; share of net revenue	~22%	~44%	~37%	~41%	~48%
Operating income	(1,947)	(54)	2,235	1,456	(16)
Net income	(2,625)	95	2,579	1,260	(754)
Adj. EBITDA	(371)*	964*	3,287*	3,151*	511
Operating cash flow	(1,585)	673	3,104	2,426	~500*

*Approximate/derived. Q2'25 net income of \$1,429 mn included large non-operating crypto-asset gains (adj. net income was only \$33 mn) — GAAP net income is polluted by fair-value marks on crypto holdings; adjusted EBITDA and operating cash flow are the cleaner lenses. Sources: 10-K/10-Q filings via EDGAR; company 8-K decks.

Balance sheet (June 30, 2026): \$13.15 bn cash, cash equivalents and restricted cash against \$5.9 bn long-term debt — ~\$7 bn net cash after a conservative haircut for restricted balances. The \$1.3 bn of 0.50% converts maturing June 2026 were fully repaid; \$3.0 bn of new converts were issued in Aug 2025. No buybacks or dividends in 2026. **Cash conversion** is excellent at the top of the cycle (2024 OCF \$3.1 bn on \$6.6 bn revenue; capex is negligible) and merely okay at the trough (Q2'26 OCF \$197 mn). **SBC** runs ~\$240 mn/quarter (~\$1 bn annualized) — the single largest recurring shareholder cost, with headcount cut 14% (~700 people) in May 2026 to protect the downside (\$600 mn of annualized cost removed; FY26E adjusted expenses narrowed to \$4.2–\$4.45 bn).

What the numbers say: (1) the subscription pivot is real — S&S at a record 48% of Q2'26 net revenue vs ~22% in 2022; (2) the trough is shallower than 2022 in relative terms (71% of prior peak vs 41%), evidence the model is genuinely less cyclical; (3) but earnings quality is still poor at the bottom — three straight GAAP losses and three straight quarterly misses, with the GAAP/adjusted gap driven by SBC, crypto revaluations (-\$210 mn in Q2) and restructuring.

The cycle in one chart: annual total revenue (\$ bn)



2021 actual ~\$7.84 bn; 2026E ~\$5.1 bn (H1 \$2.63 bn + Q3 guide run-rate). Note each peak arrives on lower take rates than the last.

5. Growth Outlook

Subscription compounding. S&S grew ~23% in 2025 (stablecoin +48%) against a -29% total-revenue 2026E. With the Circle deal locked through 2029, GENIUS Act legitimacy expanding USDC use cases, and One subscribers at records, a 12–15% S&S CAGR through the cycle is credible — the structural bull

case.

Derivatives & international. Deribit makes Coinbase the institutional options venue (85%+ share) and perps migrated there in Sept 2026; derivatives launched in Canada with US perps on the roadmap. Institutional transaction revenue +65% YoY in Q2 is the early proof.

Tokenized equities & prediction markets. The SEC's five-year Innovation Exemption (Sept 17, 2026) is the first federal blessing for tokenized NMS stocks; Coinbase self-certified single-stock perpetual futures on 50+ names the next day. Prediction markets at \$100 mn annualized and doubling quarterly. Both are genuine options — neither is yet material.

Base as infrastructure. Largest Ethereum L2 by TVL (4x the next), ~92%-margin sequencer fees, and the settlement layer for tokenized stocks. Not broken out in filings; underwrite cautiously.

The 2028–29 cycle. The April-2028 halving sets up the next volume peak (~2029). Coinbase enters it with a far larger recurring base than it had for the 2024–25 peak — the reason our bull case (\$252) is more than 3x the bear case (\$72).

6. Moat

Regulatory licenses — hardest to replicate: NY limited-purpose trust (qualified custody), CFTC-registered FCM, MiCA authorization across the EEA, 100+ country footprint. Every competitor must re-earn these one jurisdiction at a time.

ETF custody network effects: 8 of 11 BTC ETFs and 7 of 9 ETH ETFs, >80% of US bitcoin-ETF assets. Deep operational integration with the world's largest asset managers — though concentration is now pushing issuers toward multi-custody.

Brand, trust, public-company scrutiny: first major US-listed crypto exchange, audited financials, S&P 500 membership. In an industry still defined by offshore blowups, this is a durable retail acquisition advantage.

Developer ecosystem: Base + the Coinbase Developer Platform; 12 products at \$100 mn+ revenue; real switching costs for Prime custody clients.

Moat limits (honestly): retail take rates compressing 1.91% → ~1.35%; Schwab/Robinhood erode the trusted-on-ramp advantage; the GENIUS yield ban constrains USDC-rewards differentiation; and improving multi-agency regulation *lowers* the barrier that historically protected Coinbase.

7. Competition

Coinbase charges a trust premium — 2–4x the entry take of offshore and discount venues — into a market where two well-funded attackers are converging on its highest-margin flow:

Robinhood — the closest threat. Q2'26 prediction-market revenue of \$156 mn (+10x YoY) exceeded *both* its crypto and equity trading revenue; 4.7 bn prediction contracts in August (+15x YoY); 2,000+ tokenized stocks across 120+ countries within a month of launch; its own chain doing \$15.9 mn/week. Robinhood funds prediction flow with *fresh* cash; Coinbase risks cannibalizing its own crypto trading. Mizuho judged HOOD better placed for prediction upside.

Traditional brokers. Schwab rolled out spot BTC/ETH at 75 bps to ~35 mn accounts (clients already hold ~20% of US spot crypto ETPs); Fidelity charges 1.00% and self-custodies FBTC. The “tradfi on-ramp” advantage is no longer Coinbase's alone.

Offshore & specialists. Binance (0.10%/0.10%, deepest liquidity) dominates global volume; Kraken (SEC case dismissed Mar 2025) holds the compliant-US middle ground; Crypto.com undercuts on price; Hyperliquid is winning perps and now bidding for USDC distribution economics.

Coinbase's answer — the Sept 2026 Advanced Trade fee cut, One subscriptions, and the everything-exchange build-out — is directionally right. But the take-rate trend (1.91% → 1.55% → 1.39% → ~1.35%) says pricing power, not just price, is eroding.

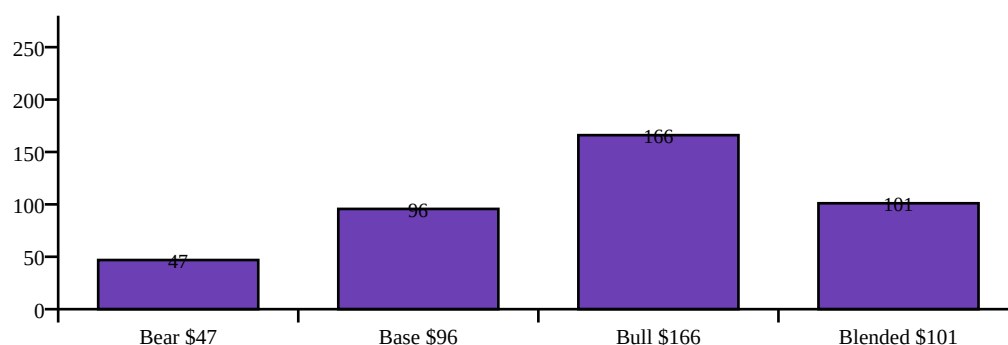
8. Valuation \u2014 the hardened DCF says \$101

COIN cannot be valued on current earnings \u2014 2026 is a trough. We triangulate across a hardened 10-year scenario DCF (primary, scenario-specific discount rates), a reverse-DCF asking what the price implies, and a mid-cycle FCF-power cross-check.

Lens 1 \u2014 Hardened scenario DCF (10-yr; 25/50/25 weights)

Revenue paths follow the ~4-year crypto cycle (peak Oct-2025 \u2014 trough 2026 \u2014 recovery 2027\u20142032 \u2014 next peak ~2029 post Apr-2028 halving \u2014 normalization 2030). Scenario discounts are 14.5% bear / 12.0% base / 10.5% bull (base 12% = speculative tier: crypto beta ~3.3, take-rate decay, rate-sensitive stablecoin revenue; bear +250bp, bull \u2014150bp). Terminal growth 1.5% bear / 2.5% base / 2.5% bull on year-10 free cash flow at normalized mid-cycle FCF margins (20% / 26% / 28%) \u2014 not trough-depressed levels. Net cash ~\$7 bn adds back to every scenario. Terminal value is 40\u201435% of EV: visible, not dominant.

Hardened scenario DCF (10-yr)				
Scenario	10-yr rev. CAGR	Yr-10 FCF margin	Discount / term. g	Fair value / sh
Bear: winter extends	2.8%	20%	14.5% / 1.5%	\$46.90
Base: cycle repeats	8.5%	26%	12.0% / 2.5%	\$95.66
Bull: everything-exchange	13.6%	28%	10.5% / 2.5%	\$166.04
Blended (25/50/25) \u2014 \$100 target	\u2014	\u2014	\u2014	\$101.06



Current price \$183 sits above the bull case \u2014 i.e., the market is paying for better-than-bull execution. The bear (\$46.90) genuinely hurts: winter extends with take rates grinding to 20% FCF margins.

Lens 2 \u2014 Reverse DCF: what does \$183 imply?

To justify \$183 on a 10-year cycle-aware DCF, revenue must compound above the bull case's 13.6% CAGR with no further take-rate decay and terminal growth above 2.5% \u2014 the opposite of the last three years' evidence (retail take rate 1.91% \u2014 ~1.35%). The price is not pricing the trough; it is pricing the recovery *and* perpetual structural growth on top, at better-than-bull execution.

Lens 3 \u2014 Mid-cycle FCF power cross-check

Normalize across the cycle: \$1,924 mn of normalized annual FCF (our hardened model), capitalized:

Multiple on normalized FCF	14x	16x	18x	20x
Fair value / sh (incl. \$7 bn net cash)	\$119	\$133	\$146	\$160

Even a generous 20x multiple on normalized mid-cycle FCF \u2014 **\$160** \u2014 sits below today's \$183. Every lens lands below the quote; the target stays anchored to the hardened DCF: **\$100**, implying **-45.4%** over twelve months. Falsification of this call: **2027\u20142032 revenue above ~\$8.5 bn with retail take rates stabilizing above 1.4%** \u2014 that would force the base case up toward the price.

9. Risks

Cycle risk (the big one). Revenue and earnings still swing violently with crypto prices and volumes; beta ~3.3. A deeper or longer winter breaks the bear case (\$46.90) rather than the base case.

Rate sensitivity. ~\$1.2 bn of annualized stablecoin revenue is reserve interest; Fed cuts flow straight to the bottom line. The GENIUS yield ban limits pricing offsets.

Take-rate compression. Three years of decline (1.91% → ~1.35%); the Sept 2026 fee cut defends share at the cost of yield.

Concentration. >80% of US bitcoin-ETF assets in Coinbase Custody — an operational or security incident would be systemic; issuers are already diversifying.

Competition. Robinhood (prediction markets, tokenized stocks, own chain), Schwab/Fidelity (tradfi on-ramps), Binance/Kraken (price), Hyperliquid (perps + USDC economics).

Regulatory. CLARITY Act stalled — market-structure clarity still pending; the tokenized-stock exemption is five-year and conditional.

Execution & dilution. Heavy M&A (Deribit, Echo), 14% workforce cut, “everything exchange” sprawl; ~\$1 bn/yr of SBC with no buyback.

10. Catalysts & What to Watch

Q3'26 earnings, Oct 29 — the near-term proving ground after three straight misses; watch S&S vs the \$500–580 mn guide and any take-rate stabilization.

CLARITY Act Senate path — passage would extend the regulatory tailwind; continued stall keeps the overhang.

Fed policy — cuts are the direct headwind to stablecoin revenue; the market has not priced this linkage, in our view.

Prediction-market & tokenized-stock scale — \$100 mn annualized doubling quarterly is the line to watch for the “everything exchange” thesis.

Crypto cycle turn — any sustained BTC recovery re-levers the whole model; our \$85–90 buy zone is calibrated to arrive *before* that turn is obvious.

11. Street View

Consensus is **Hold** with an average 12-month target of **\$222.94** (20 Buy / 12 Hold / 3 Sell; range \$95 Barclays Underweight to \$330 Bernstein Outperform; Morningstar ~\$150). Recent actions skew constructive: KBW initiated Outperform \$237 (Sep 28), Baird raised \$130 → \$205 Neutral, Morgan Stanley initiated Equal Weight \$250 modeling 2026 revenue -18% then 2027 +50% with EBITDA more than doubling, Goldman raised to \$219 Buy. We sit **below consensus on price but agree on the business quality**: the Street's targets require the V-shaped 2027 our cycle work does not support at current take rates. The most useful Street datapoint is Morgan Stanley's — it makes the priced-in recovery explicit, and we are fading it.

12. Final Recommendation: SELL

Coinbase is the best house in a cyclical neighborhood, and the neighborhood is in a downturn. The franchise deserves its premium — record subscription mix, the Circle annuity locked through 2029, ETF custody dominance, a net-cash balance sheet, and genuine regulatory tailwinds. But \$183.00 pays for better-than-bull execution: our hardened scenario DCF is worth \$101, the price sits above even the bull case (\$166.04), and every lens we ran lands below the quote. This is a SELL, not a fade of the business.

We rate COIN SELL with a \$100 12-month target (-45.4%). This is a price call, not a business call: we would turn constructive on a washout toward **\$85–90**, where the hardened DCF offers a margin of safety and the 2028–29 cycle provides multi-year upside optionality. For long-term holders, the instruction is patience, not panic — trim into

strength, reload the trough. What would change our mind: 2027–28 revenue above ~\$8.5 bn with retail take rates stabilizing above 1.4%. High risk: beta ~3.3, three straight quarterly misses, and earnings that still answer to the price of bitcoin.

Research framing only — not investment advice. Figures from company filings (EDGAR 10-K/10-Q), company 8-K decks and earnings calls, and market data as of October 2, 2026. Valuation reflects the author's cycle assumptions and is sensitive to crypto prices, take rates, interest rates and regulation; actual results may differ materially. The author holds no position in COIN.